

PROJECT

SUNDIAL

Executive Teaser

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April 2022

Transaction
Overview

Company	Slumber Smart, Inc.
Founded	2014 Boulder, CO
Sector	Consumer — Sleep-tech Hardware & Software
Process	Limited Auction — April 2022
Advisor	Goldman Sachs & Co. LLC (Exclusive)
LTM Revenue	\$145M
LTM Adj. EBITDA	\$18M (12.4% margin)
Revenue Growth	+28% YoY (LTM)
Asking EV	~\$200M (11.1x LTM EBITDA)

Slumber Smart at a Glance

Building the leading platform for precision sleep optimization

Slumber Smart, Inc. is the category-defining brand in premium sleep optimization. Founded in 2014, the company designs, manufactures and sells smart mattress technology and paired monitoring hardware — with a growing software subscription layer that generates high-margin recurring revenue. Slumber Smart products actively regulate sleep temperature, track biometrics, and deliver AI-powered sleep coaching through the SlumberOS™ app.

Founded

2014

Employees

~380

Distribution

DTC + Retail

HQ

Boulder, CO

Countries

US, CA, UK, AU

NPS

72

LTM Revenue

\$145M

+28% YoY

LTM Adj. EBITDA

\$18M

12.4% margin

Subscription ARR

\$29M

~185K subscribers

Hardware ASP

\$1,450

avg. selling price

Why Slumber Smart

Six reasons this is a compelling platform investment

01

Category leader in a large, underpenetrated market

The global sleep economy exceeds \$80B and premium sleep-tech hardware represents a nascent sub-segment with <2% household penetration in the US. Slumber Smart has a 3-5 year head-start on technology and brand.

03

High-growth SaaS layer drives NRR and multiple expansion

Subscription revenue (\$29M ARR) is growing ~60% YoY with 115% NRR. The software layer is on a path to represent 30%+ of revenue by 2025, supporting a richer valuation profile.

05

White-space geographic and product expansion

<15% of revenue from international markets today. UK and Australia launched 2021. Europe (DE, FR) targeted for 2023. Adjacent SKUs (smart pillow, crib monitor) in late-stage development.

02

Durable competitive moat — hardware + software flywheel

The SlumberOS platform creates a proprietary data loop: each night of sleep data improves algorithm accuracy, deepening engagement and creating switching costs that generic hardware cannot replicate.

04

Proven DTC playbook with strong unit economics

CAC of \$180 against LTV of \$1,900+ (hardware + 3yr sub). Payback period <6 months on DTC channel. Retail partnerships (Nordstrom, Crate & Barrel) expanding distribution with minimal incremental marketing spend.

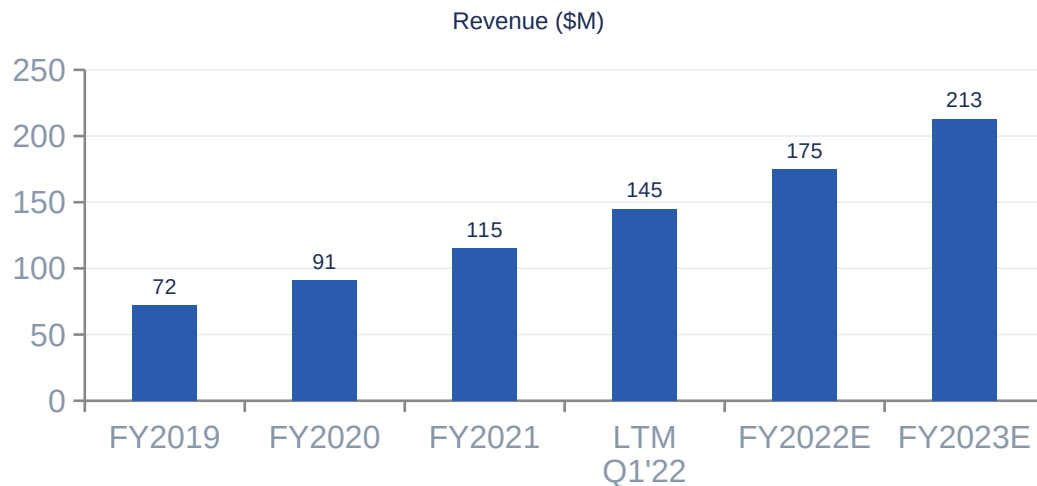
06

Experienced management team with a clear roadmap

Founder-led by CEO Maya Chen (ex-Fitbit VP Product). CFO joined from Purple Innovation; COO built operations at Casper. Aligned incentives with meaningful equity rollover proposed.

Strong Growth Trajectory

Historical performance and management projections (\$ in millions)



(\$M)	FY2 019	FY2 020	FY2 021	LTM Q1'2 2	FY2 022 E	FY2 023 E
Revenue	72	91	115	145	175	213
YoY Growth	—	+26 %	+26 %	+28%	+21 %E	+22 %E
Gross Profit	28	37	50	66	81	101
Gross Margin %	38.9%	40.7%	43.5%	45.5 %	46.3 %E	47.4 %E
Adj. EBITDA	7.5	9.8	14.2	18.0	22.5	32.0
EBITDA Margin %	10.4%	10.8%	12.3%	12.4 %	12.9 %E	15.0 %E

E = Goldman Sachs estimate based on management projections. Projections not guaranteed.

April 4

Teaser Distribution

Teaser distributed to invited
bidder universe (~8 parties)

s Overview

Timeline — April through June 2022

May 2

Management Presentations

Selected bidders invited to
MP with full team

June 3

Final Bids

Binding offers submitted with
markup to PSA

April 22

Round 1 IOI

Indicative offers and preliminary
terms submitted

May 20

CIM & Data Room

Full CIM and virtual data room
opened to advancing parties

June 17

Close

Transaction signing and
public announcement

Note: Indicative timeline subject to change at Goldman Sachs' sole discretion.

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